

Upstream rather than downstream

At GPIL, we recognised the need to build a secure upstream strategy on which to build the business. This entailed an investment in the production of resources and raw materials that would go into steel building. This approach was contrary to what most steel manufacturers had professed until then; most had invested in the front-end of the business which left them vulnerable and exposed on the raw material side of their business. The result was that in the event of a commodity up-cycle, such companies were extensively impaired by a sharp increase in their raw material costs. During such occasions, steel realisations also increased but with a lag, leaving the steel companies always attempting to play catch-up with the increase in their resource costs, perpetually mismatched time-lag and need to mobilise a larger outlay of expensive working capital.

At GPIL, we selected to be contrarian. Even as we recognised that by going the upstream route, we would always be a materials provider to large downstream steel companies for a number of years, we felt that this was the only way in a long-term journey to remain liquid and viable while engaged in the pursuit of one's mission.

I believe that the decision to venture upstream rather than downstream was possibly the most decisive initiative to have kept us in business through

one of the most extended steel sector downturns seen in the last decade.

Integration: At GPIL, we recognised that going upstream and staying there would work for only a limited period. If we sustained this approach, we would have become a low margin resource provider to larger downstream steel companies with moderate scope of any meaningful value-addition. To integrate the business, the Company signed an MoU with the State Government of Chhattisgarh to set up a 1.5-million-ton per annum steel plant. The Company is working towards making GPIL a 1.5 million tonnes per annum integrated steel Company in about three years by diversifying into the manufacture of flat products.

That recognition resulted in GPIL building an integrated downstream approach. The iron ore that we mined – the building block of our business – would be beneficiated and converted into pellets. The company commissioned a sizable capacity that would eliminate the possibility of selling iron ore in its raw form; the company became, for all practical purposes, a quality pellets company that enhanced value over mined ore. Some years ago, the company took its integration ahead by utilising sponge iron for the manufacture of billets, a step closer to emerging as a front-end steel company. I am pleased to communicate that GPIL is now India's largest high grade quality pellets manufacturing company

among secondary steel producers. The company's customers comprise small and mid-sized companies; the company marketed 34% of its domestic production within a mere 200 kms, exported 66% to China, Malaysia and South Korea and emerged as one of leading pellet exporters from Central India.

Moderating carbon footprint:

At GPIL, we recognised that the respected steel companies of the future would be those that would have invested in people, process, best practices and plants with the objective to moderate their carbon footprint. The company invested in waste heat recovery generation.

The Company is now embarking on setting up a 250 MW solar power plant with an investment of INR 750 Crores that will not only replace high-cost, low-efficiency thermal power with a clean, cost-effective, sustainable energy source for manufacturing finished steel products but also provide the company with predictable annuity revenue. The initiative will not only lead to substantial savings in energy costs and improve operating margins but also make the Company the first Indian carbon-neutral company in the iron and steel sector.

Deleveraging: At GPIL, we believed that the most visible intent of our need to emerge as a sustainable company would be reflected in our commitment to reduce the long-term debt on our books. This need to moderate debt was in response to extensive changes in the market environment. Across the last two decades, the global economic order has been increasingly marked by unforeseen development, often referred to as Black Swans. During these phases, one of the first casualties has been a decline in public and private spending, affecting the offtake of steel products. These events have, in turn, affected the debt and interest repayment capability of the debt-burdened steel companies, turning some of them sick and some towards ownership transfer.

At GPIL, we realised that it is imperative to moderate debt to remain solvent in our capital-intensive sector. The company became increasingly focused on using credit discipline, with a premium on the ability to moderate

The Company is now embarking on setting up a 250 MW solar power plant with an investment of INR 750 Crores that will not only replace the high-cost, low-efficiency thermal power with a clean, cost-effective, sustainable energy source for manufacturing finished steel products and also provide the company with predictable annuity revenue.

- overall assessment of the company's operations and its work
- Identifying challenges faced by the company.
- Provide assurance that the organization is on the right track
- Provides assessment of the market in which the firm operates
- Thought process and the company's philosophies on how they wish to grow their business.